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Roll No. .....

576345(76)
676545(76)

MBA (3rd Semester)
Examination, Nov.-Dec., 2015

(New Scheme)

Taxation and Tax Planning

Time Allowed : 3 hours *Maximum Marks* : 80
Minimum Pass Marks : 32

Note : (*i*) Attempt **all** questions.
(*ii*) The figures in the right-hand margin indicate marks.

Section - A

1. Write short notes on the following : 16

(*a*) Gross total income

(*b*) Previous year

(*c*) Assessee

(*d*) Agricultural income

OR

An assessee has the following income for the previous year ending on 31st March, 2014 :

(*a*) Income from salary from Government of India (he lived in London for three months due to his service and received salary for such period there) Rs. 3,90,000.

(*b*) Interest from a foreign company received in London and deposited in a bank there Rs. 30,000.

(*c*) Income from busienss in Kolkata, managed from London Rs. 40,000.

(*d*) Income from business in London (controlled by Mumbai Head Office) Rs. 20,000.

(*e*) Income from house property in India received in London Rs. 15,000.

(*f*) Interest on debenture from an Indian company received in London Rs. 25,000.

(*g*) Income was earned in London and received there but brought in India Rs. 30,000.

(*h*) Past untaxed foreign income brought into India during the previous year Rs. 15,000.

Compute his taxable income, if he is—

(*i*) an ordinary resident;

(*ii*) not an ordinary resident;

(*iii*) a non-resdient.

Section - B

2. Shri Murali Manohar, who is not covered under the Payment of Gratuity Act, 1972, retires on 1st January, 2014. The following information is available for the year ending 31st March, 2014 :

(*i*) Salary Rs. 24,000 per month.

(*ii*) Dearness Allowance Rs. 5,000 per month.

(*iii*) Bonus equal to two month's salary.

(*iv*) He received Rs. 3,45,000 as Gratuity (his average monthly salary was Rs. 24,000).

(*v*) Pension was determined Rs. 8,200 per month.

(*vi*) He received Rs. 2,20,000 (including interest) from unrecognized Provident Fund. He and his employer contributed equal amount to this fund.

Compute taxable income under the head salaries for the Assessment Year 2014-15. 16

Or

Define Annual value and describe the allowed deductions which are deducted from Annual value for the computation of income from House Property.

Section - C

3. The following information obtained from the P/L Account of a trader :

(*i*) General expenses includes donation to public educational institutions Rs. 1,000, Gift to employees and children on the occasion of Diwali Rs. 10,000 and Rs. 3,000 respectively.

(*ii*) Life Insurance Premium of the assessee Rs. 1,500 and personal travelling expenses Rs. 2,000 were included in Sundry expenses.

(*iii*) Interest account was debited to Rs. 1,200 on account of Interest on loan taken from Assessee's friend and salary given to son Rs. 24,000 (son does not participate in the business).

(*iv*) Subscription to Cloth Market Association Rs. 1,000.

(*v*) Cost of purchasing Patent Rs.25,000.

(*vi*) Actual bad debts Rs. 3,000; Provision for bad and doubtful debts Rs. 1,500.

(*vii*) Computer purchased debited in Profit & Loss A/c Rs. 30,000.

Find out allowed and disallowed items with reason from Income Tax point of view. 16

Or

(*a*) Shri Naresh Modi gave the following information :

He built a house in 1980 at the cost of Rs. 1,00,000 for self residence. On 1st Oct, 2013 he sold this house for Rs. 12,50,000. He purchased a new house on 1st January, 2013 for Rs. 1,40,000. Stamp fees paid Rs. 6,000 for registration. He paid 2% brokerage on both sale and purchase of house. Compute his taxable Capital Gain for the Assessment Year 2014-15. 8

(*b*) Write short notes on : 8

Computation of income of contractors and truck operators U/S 44 AD and U/S 44 AE respectively.

Section - D

4. Mr. Amit's income particulars are as under during the Previous Year 2013-14 :

(*i*) Taxable income from salary Rs 1,38,000

(*ii*) Income from house property :

Income from House *X* : Rs. 8,000

Loss from house *Y* : Rs. 6,000

Loss from house *Z* : Rs. 4,500

(*iii*) Business Income :

Profit from business Rs. 17,000

Previous trade loss (2011-12) Rs. 4,500

Speculation profit Rs. 4,000.

(*iv*) Capital Gain :

Short-term Capital Gain Rs. 16,000

Long-term Capital Gain in shares Rs. 5,200

Long-term Capital Loss on building Rs. 12,500

Current year depreciation on assets of business is Rs. 6,500.

Compute Gross Total Income after setting off and carry forward of losses. 16

Or

Write about the deductions U/S 80C, 80D, 80G and 80U of Income Tax Act against Gross Total Income.

Section - E

5. "VAT is charged on the increase in value of goods and services at each stage of production and circulation." Explain this statement with example and also explain the computation of taxable turnover under VAT with some imaginary transactions. 16

Or

(*a*) What is Central Sales Tax? Write its objectives and provisions. 8

(*b*) "Tax Planning is a legal and moral way of Tax Savigns." Explain 8